

INTRODUCTION TO STOCHASTIC PROCESSES

Siva Athreya, notes by Ramdas Singh

Fifth Semester

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Chapter 1

RANDOM WALKS

July 22nd.

Quizzes will account for 20% of the final grade, and assignments for 5%. The mid-term will account for 25% of the final grade, and the final exam will account for 50%. The primary reference for random walks is H. Follner.

1.1 The Setup

We wish to concretify the idea of a random walk on the integers $\mathbb{Z}$. Ω is our sample space, with $0 < |\Omega| < \infty$ (we shall later look at the case when Ω is countably infinite). $\mathcal{F}$ is the event space, and is exactly $\mathcal{P}(\Omega)$, the power set of Ω . The intuition of a random walk is as follows; stand at the origin. At each step, flip a fair coin. If the coin comes up heads, take a step to the right; if tails, take a step to the left. Repeat this process N times. S_n here then denotes the position of the random walk after n steps, for $0 \leq n \leq N$.

For a fixed $N \in \mathbb{N}$, we let $\Omega_N = \{\pm 1\}^N$, and $\mathcal{F}_N = \mathcal{P}(\Omega_N)$. For $1 \leq k \leq N$, define the random variable $X_k : \Omega_N \rightarrow \{\pm 1\}$ as $X_k(\omega) = \omega_k$, where $\omega = (\omega_1, \omega_2, \dots, \omega_N) \in \Omega_N$; this models the step taken by the random walk at step k . Further, define $S_0 = 0$, and for $1 \leq n \leq N$, define $S_n : \Omega_N \rightarrow \mathbb{Z}$ as $S_n(\omega) = \sum_{k=1}^n X_k(\omega)$; this models the position of the random walk after n steps. Finally, define the probability measure $\mathbb{P}_N$ on $(\Omega_N, \mathcal{F}_N)$ as $\mathbb{P}_N(A) = \frac{|A|}{2^N}$ for $A \in \mathcal{F}_N$. This models the fair coin flip at each step of the random walk.

Definition 1.1. The sequence of random variables $\{S_n\}_{n=0}^N$ on $(\Omega_N, \mathcal{F}_N, \mathbb{P}_N \equiv \mathbb{P})$, as prescribed above, is called the *simple symmetric random walk* of length N on $\mathbb{Z}$, starting at the origin.

Given $1 \leq k_1 < k_2 < \dots < k_n \leq N$, and $x_i \in \{\pm 1\}$,

$$\mathbb{P}(X_{k_1} = x_1, \dots, X_{k_n} = x_n) = \frac{|\{\omega \in \Omega_N \mid X_{k_i}(\omega) = x_i, 1 \leq i \leq n\}|}{2^N} = \frac{2^{N-n}}{2^N} = 2^{-n}. \quad (1.1)$$

That is, fixing n steps of the walk, the probability of any particular sequence of steps is 2^{-n} . Using this, we can show that for any $1 \leq k \leq N$, $\mathbb{P}(X_k = 1) = \mathbb{P}(X_k = -1) = \frac{1}{2}$. Moreover, we can extract that

$$\mathbb{P}(X_k = x_k, X_l = x_l) = 2^{-2} = \mathbb{P}(X_k = x_k)\mathbb{P}(X_l = x_l), \quad (1.2)$$

showing independence of subsequent steps; the model seems like a reasonable fit for our intuition of a random walk.

Example 1.2. The simple symmetric random walk has independent increments; that is, given $0 < k_1 < k_2 < N$, the random variables $S_k - S_0$, $S_{k_2} - S_{k_1}$, and $S_N - S_{k_2}$ are mutually independent. This is because the increments are functions of disjoint sets of independent random variables X_k , and hence are independent themselves. Similarly, one may concretely show that for $1 \leq k < m \leq N$, the distribution of $S_m - S_k$ is the same as that of S_{m-k} .

The following properties of the simple symmetric random walk are immediate consequences of the above definition and example.

Suppose we have $\mathbb{P}(S_{n-1} = a_{n-1}, S_{n-2} = a_{n-2}, \dots, S_0 = 0) > 0$. Then, we are free to compute the conditional probability $\mathbb{P}(S_n = a_n \mid S_{n-1} = a_{n-1}, S_{n-2} = a_{n-2}, \dots, S_0 = 0)$. One may verify that

$$\mathbb{P}(S_n = a_n \mid S_{n-1} = a_{n-1}, S_{n-2} = a_{n-2}, \dots, S_0 = 0) = \mathbb{P}(S_n = a_n \mid S_{n-1} = a_{n-1}), \quad (1.3)$$

for all $a_1, \dots, a_n \in \mathbb{Z}$ such that $\mathbb{P}(S_{n-1} = a_{n-1}, S_{n-2} = a_{n-2}, \dots, S_0 = 0) > 0$. This is called the *Markov property* of the simple symmetric random walk. In words, this property states that given the present state of the walk, the future evolution of the walk is independent of its past history.

Now suppose $\mathbb{P}(S_k = a) > 0$ for some $k \geq 1, a \in \mathbb{Z}$, and let $m > k, b \in \mathbb{Z}$. Then, one can simply compute that $\mathbb{P}(S_m = b \mid S_k = a) = \mathbb{P}(S_{m-k} = b - a)$.

The next question we may ask is, on an average, where the random walk is located after n steps, for $1 \leq n \leq N$. We can compute the expected value of S_n as follows:

$$\mathbb{E}[S_n] = \mathbb{E}\left[\sum_{k=1}^n X_k + 0\right] = \sum_{k=1}^n \mathbb{E}[X_k] = \sum_{k=1}^n 0 = 0. \quad (1.4)$$

Thus, to get a better idea of the location of the random walk after n steps, we compute the variance of S_n :

$$\text{Var}(S_n) = \text{Var}\left(\sum_{k=1}^n X_k + 0\right) = \sum_{k=1}^n \text{Var}(X_k) = \sum_{k=1}^n 1 = n. \quad (1.5)$$

So, via the central limit theorem, we can approximate for large n as

$$\mathbb{P}\left(-3 \leq \frac{S_n}{\sqrt{n}} \leq 3\right) \approx \Phi(3) - \Phi(-3) \quad (1.6)$$

where Φ is the cumulative distribution function of the standard normal distribution.

We now claim that

$$\mathbb{P}(S_{2n} = 0) = \binom{2n}{n} 2^{-2n} = \mathbb{P}(S_{2n-1} = 1) = \mathbb{P}(S_{2n-1} = -1). \quad (1.7)$$

To this end, we note that for $S_n = x$, we must have taken $\frac{n+x}{2}$ steps to the right, and $\frac{n-x}{2}$ steps to the left. Thus, we have

$$\mathbb{P}(S_n = x) = \frac{|\{\omega \in \Omega_N \mid S_n = x\}|}{2^N} = \binom{n}{\frac{n+x}{2}} \frac{2^{N-n}}{2^N} = \binom{n}{\frac{n+x}{2}} 2^{-n}. \quad (1.8)$$

The binomial coefficient attains its maximum at $x = 0$ for even n , and at $x = \pm 1$ for odd n . Thus, we have shown the above required claim. We can further approximate this via *Stirling's formula*, which states $k! \sim \sqrt{2\pi k} k^k e^{-k}$ for large k . For now, we shall treat this as an equality. Thus, for large n ,

$$\mathbb{P}(S_{2n} = 0) = \binom{2n}{n} 2^{-2n} \sim \frac{\sqrt{4\pi n} (2n)^{2n} e^{-2n}}{2\pi n n^{2n} e^{-2n}} 2^{-2n} = \frac{1}{\sqrt{\pi n}}. \quad (1.9)$$

We now show that given any interval $[a, b] \subsetneq \mathbb{R}$, the probability that the random walk stays in this interval is zero as $n \rightarrow \infty$. To this end, note that either $\mathbb{P}(S_n = x) \leq \mathbb{P}(S_n = 0)$ or $\mathbb{P}(S_n = x) \leq \mathbb{P}(S_n = 1)$ holds for any given n ; moreover, both of the quantities on the right-hand side are bounded by $\frac{c}{\sqrt{n}}$ for an appropriate constant $c > 0$. Thus, we have

$$0 \leq \mathbb{P}(a \leq S_n \leq b) = \sum_{x=a}^b \mathbb{P}(S_n = x) \leq \frac{c(b-a+1)}{\sqrt{n}} \rightarrow 0 \text{ as } n \rightarrow \infty. \quad (1.10)$$

1.2 Stopping Times

July 29th.

We can interpret S_n as the amount of capital earned by a player until time n . Earlier, we saw that the expected ‘amount of capital’ at n is $\mathbb{E}[S_n] = 0$, for $0 \leq n \leq N$. We ask if there is a favourite (random) time at which the player should stop playing, so as to maximize the expected amount of capital earned. We assume that there is no insider trading, and that the player’s decision to stop playing at time n is based on the information available until time n .

Definition 1.3. A subset $A \subseteq \Omega$ is termed an *observable event* by time n if it can be written as a union of basic events of the form

$$\{\omega \in \Omega \mid \omega_1 = o_1, \dots, \omega_n = o_n\}, \quad o_1, \dots, o_n \in \{\pm 1\}. \quad (1.11)$$

That is, A can be determined by observing the outcomes of the first n coin tosses.

We shall use $\mathcal{A}_n$ to denote the collection of all observable events by time n . One can show that

$$\{\emptyset, \Omega\} = \mathcal{A}_0 \subseteq \mathcal{A}_1 \subseteq \dots \subseteq \mathcal{A}_N = \mathcal{F}. \quad (1.12)$$

Definition 1.4. A map $T : \Omega \rightarrow \{0, 1, \dots, N\} \cup \{\infty\}$ is called a *stopping time* if $\{T = n\} \in \mathcal{A}_n$ for all $0 \leq n \leq N$.

As an example, pick $a \in \mathbb{Z}$. We can then define $\sigma_a : \Omega \rightarrow \{0, 1, 2, \dots, N\} \cup \{\infty\}$ as $\sigma_a(\omega) = \min\{n \geq 0 \mid S_n(\omega) = a\}$, with the convention that $\min \emptyset = \infty$. This is, simply put, the first time the random walk hits the point a . The reader may show that σ_a is indeed a stopping time. On the other hand, the map $\tau : \Omega \rightarrow \{0, 1, 2, \dots, N\} \cup \{\infty\}$ defined as $\tau(\omega) = \min\{n \geq 0 \mid S_n(\omega) = S_N(\omega)\}$ is not a stopping time; this is because we cannot determine if the random walk has hit its final position at time n without knowing the outcome of the coin tosses after time n .

Theorem 1.5. For any stopping time $T : \Omega \rightarrow \{0, 1, \dots, N\}$, we have $\mathbb{E}[S_T] = 0$.

That is, there is an impossibility of a favourite stopping time. We shall adopt the notation $S_T(\omega) := S_{T(\omega)}(\omega)$, the outcome of the trajectory ω at the stopping time $T(\omega)$. This leads us to discuss the impossibility of profitable games.

Let $V_1, \dots, V_N : \Omega \rightarrow \mathbb{R}$ be random variables such that $\{V_k = c\} \in \mathcal{A}_{k-1}$ for all $c \in \mathbb{R}$, $k = 1, \dots, N$. V_k here represents the amount of capital a player bets at time k . The result at the k -th round of the game is then $V_k X_k$. This is known as a game system.

Theorem 1.6. For any $V_1, \dots, V_N$ which are a game system as above, let $S_n^V = \sum_{k=1}^n V_k X_k$ for $1 \leq n \leq N$. Then, $\mathbb{E}[S_N^V] = 0$.

Proof. We have $\mathbb{E}[S_N^V] = \sum_{k=1}^N \mathbb{E}[V_k X_k]$. Let us restrict our range as $\text{range}(V_k) = \{c_1, \dots, c_M\}$ for some $M \in \mathbb{N}$. Then, we have

$$\mathbb{E}[V_k X_k] = \sum_{i=1}^M c_i \mathbb{E}[\mathbf{1}_{\{V_k = c_i\}} X_k] \quad (1.13)$$

Note that, by definition, $\{V_k = c_i\} \in \mathcal{A}_{k-1}$, and hence is independent of X_k . Thus, we have

$$\mathbb{E}[V_k X_k] = \sum_{i=1}^M c_i \mathbb{E}[\mathbf{1}_{\{V_k = c_i\}}] \mathbb{E}[X_k] = 0. \quad (1.14)$$

■

We shall use this theorem to prove the theorem before it.

Proof of impossibility of a favourite stopping time. We have

$$S_T = \sum_{k=1}^{T(\omega)} X_k = \sum_{k=1}^N \mathbf{1}_{\{T \geq k\}} X_k. \quad (1.15)$$

Now, for $1 \leq k \leq N$, set $V_k : \Omega \rightarrow \{0, 1\}$ as $V_k(\omega) = \mathbf{1}_{\{T(\omega) \geq k\}}$. Then $\{V_k = 1\} = \{T \geq k\} = \{T < k\}^c = \left(\bigcup_{m=0}^{k-1} \{T = m\}\right)^c \in \mathcal{A}_{k-1}$ since $\{T = m\} \in \mathcal{A}_m \subseteq \mathcal{A}_{k-1}$ for $0 \leq m \leq k-1$, and $c\mathcal{A}_{k-1}$ is closed under finite unions and complements. Thus, $V_1, \dots, V_N$ is a game system, and hence $\mathbb{E}[S_T] = \mathbb{E}[S_N^V] = 0$ by the previous theorem. ■

Suppose $T : \Omega \rightarrow \{0, 1, \dots, N\}$ is a stopping time. Then $\text{Var}(S_T) = \mathbb{E}[S_T^2] - \mathbb{E}[S_T]^2 = \mathbb{E}[S_T^2]$. We can compute $\mathbb{E}[S_T^2]$ as follows; let $1 \leq k \leq N$. Then

$$S_k^2 = (S_{k-1} + X_k)^2 = S_{k-1}^2 + 2X_k S_{k-1} + 1. \quad (1.16)$$

Set $V_k = S_{k-1} \mathbf{1}_{\{T \geq k\}}$. Verify that $V_1, \dots, V_N$ is a game system. Then, we have

$$\begin{aligned} S_N^V &= \sum_{k=1}^N X_k V_k = \sum_{k=1}^N (S_{k-1} X_k) \mathbf{1}_{\{T \geq k\}} = \sum_{k=1}^N \frac{1}{2} (S_k^2 - S_{k-1}^2 - 1) \mathbf{1}_{\{T \geq k\}} \\ &= \frac{1}{2} \sum_{k=1}^N S_k^2 \mathbf{1}_{\{T \geq k\}} - \frac{1}{2} \sum_{k=1}^N S_{k-1}^2 \mathbf{1}_{\{T \geq k\}} - \frac{1}{2} \sum_{k=1}^N \mathbf{1}_{\{T \geq k\}} \\ &= \frac{1}{2} \sum_{k=1}^N S_k^2 \mathbf{1}_{\{T=k\}} - \frac{T}{2} = \frac{S_T^2 - T}{2}. \end{aligned} \quad (1.17)$$

By the previous theorem, we have $\mathbb{E}[S_N^V] = 0$, and hence $\mathbb{E}[S_T^2] = \mathbb{E}[T]$.

1.2.1 Ruin Problem

We have two players, one with capital a and the other with capital b . For $0 \leq n \leq N$, let S_n denote the gain of the first player. We define the first player's ruin as

$$\{\sigma_{-a} < \sigma_b, \sigma_{-a} \leq N\}. \quad (1.18)$$

Define the ruin probability γ_N^1 to be the probability of this event, the first player's ruin. Similarly, we define the second player's ruin as

$$\{\sigma_b < \sigma_{-a}, \sigma_b \leq N\}, \quad (1.19)$$

and define the ruin probability γ_N^2 to be the probability of this event, the second player's ruin. Now define $T_N : \Omega \rightarrow \{0, 1, 2, \dots, N\}$ as $T_N = \min\{\sigma_{-a}, \sigma_b, N\}$. Then, T_N is a stopping time. It has been shown that $\mathbb{E}[S_{T_N}] = 0$. Explicitly writing out S_{T_N} , we have

$$S_{T_N} = \begin{cases} -a & \text{if } \sigma_{-a} < \sigma_b \text{ and } \sigma_{-a} \leq N, \\ b & \text{if } \sigma_b < \sigma_{-a} \text{ and } \sigma_b \leq N, \\ S_N & \text{if } \min(\sigma_{-a}, \sigma_b) \geq N. \end{cases} \quad (1.20)$$

Taking expectations, we have

$$\begin{aligned} 0 &= -a\mathbb{P}(\sigma_{-a} < \sigma_b, \sigma_{-a} \leq N) + b\mathbb{P}(\sigma_b < \sigma_{-a}, \sigma_b \leq N) + \mathbb{E}[S_N \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}}] \\ \implies 0 &= -a\gamma_N^1 + b\gamma_N^2 + \mathbb{E}[S_N \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}}]. \end{aligned} \quad (1.21)$$

Here, we claim that $\mathbb{E}[S_N \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}}] \rightarrow 0$ as $N \rightarrow \infty$. To this end, first notice the bounds

$$0 \leq |S_N| \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}} \leq (b+a) \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}} \quad (1.22)$$

which then implies

$$0 \leq \mathbb{E}[|S_N| \mathbf{1}_{\{\min(\sigma_{-a}, \sigma_b) \geq N\}}] \leq (b+a)\mathbb{P}(\min(\sigma_{-a}, \sigma_b) \geq N) \leq (b+a)c \frac{(b-a+1)}{\sqrt{N}} \rightarrow 0 \text{ as } N \rightarrow \infty. \quad (1.23)$$

We now make three 'leaps of faith;' they are

1. $\gamma^1 = \lim_{N \rightarrow \infty} \gamma_N^1$ and $\gamma^2 = \lim_{N \rightarrow \infty} \gamma_N^2$ exist.
2. $\gamma^1 + \gamma^2 = 1$.
3. $0 = -a\gamma^1 + b\gamma^2$.

The last two assumptions imply that $\gamma^1 = \frac{b}{a+b}$ and $\gamma^2 = \frac{a}{a+b}$.

1.3 Reflection Principle

Consider a random walk starting at the origin that ends up at $a + c$. Such a walk will have to pass through a at some point. We can then reflect the part of the walk after it hits a about the line $y = a$. This gives us a bijection between walks that end up at $a + c$ and walks that reach a and then end up at $a - c$. That is,

$$|\{\omega \in \Omega \mid S_n = a + c\}| = |\{\omega \in \Omega \mid S_n = a + c, \sigma_a \leq n\}| = |\{\omega \in \Omega \mid S_n = a - c, \sigma_a \leq n\}|. \quad (1.24)$$

This lemma immediately follows.

Lemma 1.7. $\mathbb{P}(S_n = a + c) = \mathbb{P}(\sigma_a \leq n, S_n = a - c)$.

Theorem 1.8. $\mathbb{P}(\sigma_a \leq n) = \mathbb{P}(S_n \notin [-a, a - 1])$, and $\mathbb{P}(\sigma_a = n) = \frac{a}{n} \mathbb{P}(S_n = a)$.

Proof. We have

$$\begin{aligned} \mathbb{P}(\sigma_a \leq n) &= \sum_{b \in \mathbb{Z}} \mathbb{P}(\sigma_a \leq n, S_n = b) = \sum_{b \in \mathbb{Z}, b \geq a} \mathbb{P}(\sigma_a \leq n, S_n = b) + \sum_{b \in \mathbb{Z}, b < a} \mathbb{P}(\sigma_a \leq n, S_n = b) \\ &= \mathbb{P}(S_n \geq a) + \sum_{b \in \mathbb{Z}, b < a} \mathbb{P}(S_n = 2a - b) = \mathbb{P}(S_n \geq a) + \mathbb{P}(S_n > a) = \mathbb{P}(S_n \geq a) + \mathbb{P}(S_n < -a) \\ &= \mathbb{P}(S_n \notin [-a, a - 1]). \end{aligned} \quad (1.25)$$

On the other hand,

$$\begin{aligned} \mathbb{P}(\sigma_a = n) &= \mathbb{P}(\sigma_a \leq n) - \mathbb{P}(\sigma_a \leq n - 1) = \frac{1}{2} (\mathbb{P}(S_{n-1} = a - 1) - \mathbb{P}(S_{n-1} = a + 1)) \\ &= \frac{1}{2} \left(\binom{n-1}{\frac{n-1+a-1}{2}} \frac{1}{2^{n-1}} - \binom{n-1}{\frac{n-1-a+1}{2}} \frac{1}{2^{n-1}} \right) = \frac{1}{2^n} \cdot \frac{a}{n} \binom{n}{\frac{n+a}{2}} = \frac{a}{n} \mathbb{P}(S_n = a). \end{aligned} \quad (1.26)$$

■

We now take as convention that $\sigma_0 = \min\{n \geq 1 \mid S_n = 0\}$ so that $\sigma_0 \neq 0$.

Lemma 1.9. $\mathbb{P}(\sigma_0 > 2n) = \mathbb{P}(S_{2n-1} = -1)$.

Proof. We have

$$\begin{aligned} \mathbb{P}(\sigma_0 > 2n) &= \mathbb{P}(S_1 \neq 0, S_2 \neq 0, \dots, S_{2n} \neq 0) = 2\mathbb{P}(S_1 > 0, \dots, S_{2n} > 0) \\ &= 2 \cdot \frac{1}{2^{2n}} \#\{\text{paths that start at 0 and don't hit } -1 \text{ in } 2n - 1 \text{ steps}\} \\ &= \frac{1}{2^{2n-1}} \#\{\text{paths that start at 0 and stay below 1 in } 2n - 1 \text{ steps}\} = \mathbb{P}(\sigma_1 > 2n - 1) \\ &= 1 - \mathbb{P}(\sigma_1 \leq 2n - 1) = 1 - \mathbb{P}(S_{2n-1} \notin [0, 1]) = 1 - \mathbb{P}(S_{2n-1} \neq -1) = \mathbb{P}(S_{2n-1} = -1). \end{aligned} \quad (1.27)$$

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